

RETIREMENT PLANNING

A SPECIAL CASE

A special case that we will need to attend to while setting up goals is retirement planning. It is something that is present on everyone's list and is a little bit complicated to deal with due to multiple uncertainties and assumptions. People often prepare complicated models for retirement planning and also end up paying heavy commissions to experts to plan for their retirement. So, here we have a simplified approach for you.

Who should be concerned about retirement planning? Retirement planning starts hitting people first around the age of 40 when they are mid-way through their careers. For some, it can be earlier or even a little later. People below the age of 32-33, do not need to worry about it. They are supposed to focus on learning and career growth and not a lot about retirement planning and all such things. This is probably their parents' time to retire and they have a lot of time.

When dealing with retirement planning, the difficult part is about quantifying the goals in terms of time and money. This is quite challenging since the number of years involved is very high. We will assume that we intend to retire at the age of 60. If we work longer, that only improves the efficiency of the plan. So, even if we intend to retire at 70, we begin with planning initially as if we will retire at 60. This is however the age for the majority to retire. So, the time horizon can be calculated as years left to reach the age of 60.

To answer this question, we observed that there are numerous models on the internet and by financial planning experts that are present and most of them over-simplify or over-complicate Retirement Plans. Few of them are effective whereas others are not. However, the most efficient structure has been discussed by Mrs. Monika Halan in her book – Lets Talk Money. She has used three methods and these are among the best methods for most of us to follow. We will use either of the three methods and we shall do great. We do not want to involve ourselves in complicated models. The three methods are discussed as followings

